THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH, COURT-II, CHANDIGARH

CP (CAA) No.37/Chd/Hry/2024
(2nd Motion)

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016

In the matter of Scheme of Amalgamation between:

1. **Vivekananda Social Foundation**
   having its registered office at
   Gyan Peeth Sekha Road,
   Barnala, Punjab, 148101
   PAN: AADCV5806B
   CIN: U93000PB2011NPL034806

…Petitioner Company No. 1/Transferor Company

And

2. **League of Artisans**
   having its registered office at
   SCO-20-21, Sector-9,
   Chandigarh, 160009
   PAN: AACCL0749A
   CIN: U85300CH2008NPL031259

….Petitioner Company No. 2/Transferor Company

3. **Trident Institute of Social Sciences**
   Having its registered office at
   Trident group, Sangrur, Sanghera
   Punjab, 148101
   PAN: AAECT0033F
   CIN: U93000PB2011NPL035424

…Petitioner Company No. 3/Transferee Company

Order delivered on: 20.03.2025

Coram: HON'BLE MR. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE MR. ASHISH VERMA, MEMBER (TECHNICAL)

Present:

For the Petitioner	: Mr. Shubham Gupta, Advocate
For the Income Tax Department	: Mr. Yogesh Putney and Mr. Saurabh ` Kapoor, Senior Standing Counsels
For the RD	: Mr. Vineet Khatri, Company Prosecutor
For the Official Liquidator	: Mr. Edward Augustine George, Advocate

Per: Harnam Singh Thakur, Member (Judicial)

ORDER

This is a Joint Second Motion Petition filed by the Petitioner Companies namely; Vivekananda Social Foundation **(Petitioner Company No.1 / Transferor Company)**; League of Artisans **(Petitioner Company No. 2 / Transferor Company)**, Trident Institute of Social Sciences **(Petitioner Company No. 3 / Transferee Company)** and their respective shareholders and creditors for sanctioning the Scheme of Amalgamation between Petitioner Companies ('**Scheme**') under Section 230-232 of Companies Act, 2013 (the **'Act'**) read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for Brevity **"Rules"**)

2. The Petitioner Companies have prayed for sanctioning of the Scheme of Amalgamation between the respective companies and for directions for issuance of notice to the requisite statutory authorities, regulators including the sectoral regulators and publication of notice inviting the objections of the

general public regarding the proposed scheme of arrangement. The said Scheme is attached as Annexure P-5.

3. The first motion application seeking directions for dispensing/ convening the meetings of the Equity Shareholders, Secured and Unsecured Creditors of the Petitioner Companies was filed before this Tribunal vide Company Application No. CA (CAA) No.26/Chd/Pb/2024. Vide Order dated 30.08.2024, the meetings of the Equity Shareholders of all the petitioner Companies were dispensed with keeping in view the shareholding and ownership pattern and the fact that all the equity shareholders of the Petitioner Companies have consented to the proposed scheme of amalgamation by way of affidavit. Both the petitioner companies have nil Preference shareholders, secured and unsecured creditors, hence the convening the meetings for the same were also dispensed with
4. The main objects, date of incorporation, authorized and paid-up share capital, and the rationale of the Scheme had been discussed in detail in the first motion order dated 30.08.2024.
5. In the second motion proceedings, certain directions were issued by this Tribunal by order dated 06.09.2024 and the same were complied through Compliance Affidavit filed vide Diary No. 02782/3 dated 04.11.2024. The Petitioner companies have made newspaper publications in "Business Standard" (English, Punjab Edition) and "Ajit" (Punjab Edition) on 18.09.2024. The copies of the newspapers were attached as Annexure-2 of the aforesaid Affidavit. It is also stated in the aforesaid Affidavit that the petitioner companies have served notices to (a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b)

Registrar of Companies, Punjab and Chandigarh, (c) the Official Liquidator (attached to Punjab and Haryana High Court), (d) Jurisdictional Income Tax Department (e) Other Sectoral Authorities. Copies of original postal receipts along with tracking report evidencing service of notice is attached as Annexure 3-7 of the aforesaid Affidavit.

6. It is deposed by the Authorized Signatory of the Petitioner Companies that they have not received any representation/objection to the proposed Scheme as on the date of the Affidavit. The aforesaid Affidavits by the Petitioner Companies have been filed vide Diary No.02782/8 dated 11.11.2024.

7. In response to the abovementioned notices, the regulatory authorities have furnished their replies:

7.1 **Registrar of Companies (RoC)/Regional Director (RD)**

7.1.1 The Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi has filed its report along with the report of the Registrar of Companies (RoC), vide diary No. 02782/01 dated 22.10.2024 sets out certain observations. As per Clause 6, the report of ROC, Punjab & Chandigarh, has been received vide letter dated 01.10.2024, having no observation against the proposed Scheme of Amalgamation. Copy of report of ROC is marked as Annexure-A. As per the report of ROC, the Petitioner Companies have filed the Balance Sheet and Annual Return up to 31.03.2024. It is further stated in Clause 11 that no prosecution has been filed against the petitioner companies and no inspection or investigation is pending in respect of Petitioner Companies.

7.1.2 In response to the report as filed by Regional Director and ROC, the Petitioner Company has filed its Affidavit vide Diary No.02782/7 dated 04.11.2024, stating that the Regional Director & ROC have stated only factual figures and made no observation/objection in their report and that there is no adverse remark made by the Statutory Authority against the Scheme

7.2 **Official Liquidator**

7.2.1 The Official Liquidator has filed its report vide Diary No. 02782/2 dated 21.10.2024. The Official Liquidator in its report has reproduced the information on the incorporation of the Petitioner Companies, their capital structure, financial highlights, shareholding, etc. The Official Liquidator has also reproduced the extracts of Clauses incorporated in the Scheme as well as its share consideration. It is further stated that there is no observation/objection by the Office of Official Liquidator.

7.2.2 The Response is filed by the petitioner companies vide Diary No. 02782/5 dated 04.11.2024 by way of Affidavit to the Report filed by the Official Liquidator stating that the Office of Official Liquidator has stated only factual figures and made no observations/objections in their report and that there is no adverse remark made by the statutory authorities against the Scheme.

7.3 **Income Tax Department**

7.3.1. The Income Tax Department has filed its report with respect to Transferor Company No.1 vide Diary No.02782/9 dated 09.12.2024 and with respect to Transferor Company No.2 and

Transfree Company vide Diary No. 02782/11 dated 10.12.2024. It is stated that there are some proceedings pending under Section 143(2) & 147 of Income Tax Act,1961 against Transferor Company No.2 and Transferee Company as mentioned in column no.7 of the report, however there is no demand outstanding against both these companies. It is further categorically stated in para no. 22 and 23 respectively of both the reports that the department has no objection to this Scheme of Amalgamation subject to all the compliances for transferor companies shall be made by the Petitioner Company No.3/Transferee Company after the appointed date , and also all the tax liabilities and all the pending appeals and proceedings under the Income Tax Act for transferor companies shall be enforced and continued against the Petitioner Company No.3/Transferee Company..

7.3.2. The Response Affidavit was filed by the Petitioner Companies to the report of the Income Tax Department with respect to the Transferor Company No.1 filed vide Diary No. 02782/10 dated 05.12.2024 and with respect to Transferor Company No.2 and transferee company vide Diary No. 02782/12 dated 13.12.2024. It is stated that the Scheme of Amalgamation duly contains appropriate provisions under which all pending demands, liabilities or proceedings under the Income Tax Act,1961 against the Transferor Company No.1&2 be continued and enforced. It is further undertaken by the Transferee Company that all the

pending proceedings against the Transferor Company No.2 and Transferee Company will be carried on as per provisions of Income Tax Act,1961 against the Transferee Company.

8. The Certificate of the Statutory Auditors with respect to the Scheme between the Petitioner Companies to the effect that the accounting treatment proposed in the Scheme is in compliance with the applicable Indian Accounting Standards (Ind AS) as specified in Section 133 of the Act, read with rules thereunder and other Generally Accepted Accounting Principles was filed as Annexure- P28 of the Petition.
9. We have heard the learned counsel for Petitioner Companies and perused the record carefully.
10. In the context of the above discussion, the Scheme contemplated between the Petitioner Companies, appears to be prima facie in compliance with all the requirements stipulated under the relevant sections of the Companies Act, 2013 and since all the requisite statutory compliance have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation appended as Annexure – P5 with the petition.
11. Notwithstanding the submission that no investigation is pending against the Petitioner Companies, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Companies.
12. While approving the scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of

stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

. That all the property, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies but subject nevertheless to all charges now affecting the same;

i. That all the liabilities and duties of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

ii. That all benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to include under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

iii. That all contracts of the Transferor Companies which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

iv. That all the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

v. That the Appointed Date for the Scheme shall be 01.04.2024 as specified in the Scheme;

vi. That the proceedings, if any, now pending by or against the Transferor Companies be continued by or against the Transferee Company;

vii. That the Transferee Company shall, without further application, allot to the existing members of the Transferor Companies shares of Transferee Company to which they are entitled under the said Scheme;

viii. That the fee, if any, paid by the Transferor Companies on their authorized capital shall be set off against any fees payable by the Transferee

Company on its authorized capital subsequent to the sanction of the 'Scheme';

ix. That the assessment under the Income Tax Act will be in accordance with the provisions of the Section 170 (2A) of the Income Tax Act, 1961; The Petitioner Company No. 3/Transferee company shall file modified income tax return if any required to be filed pursuant to the scheme as approved by this order in the manner and form as prescribed u/s 170A of the Income Tax Act , 1961 within six month from the end of the month of this order

x. That the Transferee Company shall file the revised memorandum and articles of association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

xi. That the Petitioner Companies shall, within 30 days after the date of receipt of this order, cause a certified copy of this order to be delivered to the concerned Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies shall be dissolved without undergoing the process of winding up. The concerned Registrar of Companies shall place all documents relating to the Transferor Companies registered with him on the file relating to the said Transferee Company, and the files relating to the Companies and Transferee Company shall be consolidated accordingly, as the case may be; and

xii. That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

13. As per the aforesaid directions, formal orders in Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, be issued after the filing of the Schedule of Properties within three weeks from the date of receiving a certified copy of this order by the petitioners.
14. All the concerned Regulatory Authorities are to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar of this Bench.
15. The Company Petition CP (CAA) No.37/Chd/Hry/2024 is allowed and disposed of accordingly.

Sd/-

(Ashish Verma)
Member (Technical)

Sd/-

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(Harnam Singh Thakur)
Member (Judicial)

March 20, 2025
Jashan